SPECIAL PLATTER FOR PARTNERS

They may not have got special category status, but BJP allies get enough of a budget bonanza for the Opposition to scream preferential treatment

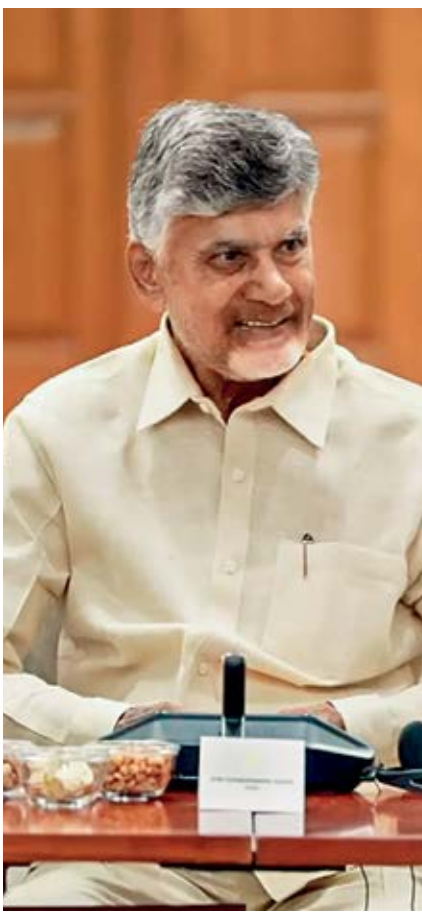
BY **AMARNATH K. MENON AND AMITABH SRIVASTAVA**

CALL IT A RETURN GIFT OR APPEASEMENT POLITICS, Union finance minister Nirmala Sitharaman's budget has been kind—in cash—on Andhra Pradesh and Bihar, showering substantial allocations on the two states led by key allies of the ruling Bharatiya Janata Party (BJP). While chief ministers N. Chandrababu Naidu and Nitish Kumar have welcomed the windfall, Opposition-ruled states have decried it as unfair, calling it a clear quid pro quo for their support to the BJP-led National Democratic Alliance (NDA).

Neither Naidu and Nitish, both of whom returned to the NDA fold ahead of the recent Lok Sabha election, have been coy about demanding preferential treatment for their states—for instance, repeatedly pressing for Special Category Status to get central grants on priority. Their strong showing in the election—the Naidu-led Telugu Desam Party (TDP) won 16 seats while Nitish's Janata Dal (United) pocketed 12—has, in fact, handed them even more bargaining chips.

Naidu, who also stormed to power in Andhra Pradesh, had been demanding central funds to revive his ambitious Amaravati capital city project. It was in his previous term as CM (2014-19)—soon after the state was bifurcated and common capital Hyderabad geographically subsumed into Telangana—that Naidu had envisioned Amaravati as a greenfield capital city of Andhra Pradesh. But the project fell into neglect after Y.S. Jagan Mohan Reddy came to power in 2019.

While presenting the Union Budget, Sitharaman "recognised" the state's need for a capital and said, "We will facilitate special financial support through multilateral development agencies," and promised Rs 15,000 crore in the current financial year, "with additional amounts" in future. Naidu is confident the flow of funds will spur economic activity, which, in turn, would also help Andhra earn much-needed tax revenue. That's quite critical for a state with public debt at 33.32 per cent of its Gross State Domestic Product (GSDP). "Whatever form the funds come in, they will be very useful for the state...and will help revive the construction of the capital city," Naidu told mediapersons in a post-budget interaction.



THE 'N' FACTORS

Andhra Pradesh CM N. Chandrababu Naidu with his Bihar counterpart Nitish Kumar at an NDA meet in New Delhi, Jun. 5